

Article | 15 June 2026

RATES SPARK

Rates Spark: The damage has been done

A slide lower in oil prices has helped rates dip, but we're not returning to pre-war yield levels. The US 10yr real yield is likely to remain elevated, and US inflation breakevens have little room to fall further. The ECB has already hiked once, and at least another hike is discounted. We anticipate more oil price volatility as a big reserve rebuild kicks off



Lower oil prices help, but we still expect bond yields to remain elevated due to inflation

Treasury yields to remain sticky to the upside, as real yields remain elevated

The Iran deal gets signed physically on Friday. But already apparently 'electronically signed'. The proof will come from the Strait, and the beginnings of a reopening is all markets care about. President Trump has promised this from Friday onwards. Reaction so far on the rates market has been predictably muted. Well before this deal, breakeven inflation rates had been falling. They are now back to where they were before the war started, which is quite remarkable (US 10yr breakeven at 2.3%; a perfect score).

US real yields are structurally higher by some 40bp since before the war, which, again, is quite remarkable. We doubt they collapse lower, which is why the 10yr yield will remain elevated. It's down post the deal announcement, but not by much. The 10yr yield is holding in the 4.45% area, where it has tended to hover in recent weeks. The 10yr real yield is just above 2%, which is broadly a neutral valuation, one that we saw before the GFC / pandemic impacted years. Barring a recession, it can hold in this area.

We broadly move on now. The US/Iran discussions continue. The Strait eases up. And the market discount for structurally negative inflation repercussions continues to ease. But note, we still have elevated inflation prints to deal with, as inflation is already elevated. And there is another month or so of follow-through to come on this. It makes it tough to get overly bullish on bonds, at least not given what we know.

Don't expect rates to return to when everything started

Brent prices have now dropped from close to US\$100/bbl down to almost US\$80/bbl in the span of less than two weeks. However, over the same time span, the market has already come to the conclusion that much of the damage has been done, and the overall reaction function of rates to the geopolitically driven oil prices has already settled at a higher level.

That means, while oil is at its lowest point since early March, 10y EUR swap rates are still around 3%, a level that has marked a soft floor to the long end rate over the past few months. The European Central Bank has, of course, already created facts in the meantime by delivering a rate hike last week. More importantly, official commentary even after the news of the deal over the weekend continues to lean hawkish, citing first signs of second-round effects and this being no time for complacency. The market is proving very reluctant to set aside its expectations of a second ECB rate hike, which remains more than fully priced by the end of the year.

The market reaction has also been faster than realities on the ground, and it can be altered by the prospects of a deal. A more durable repricing requires safe, predictable and insured shipping through the Strait of Hormuz. And demand could likely to be higher than usual as depleted reserves need to be replenished. Re-escalation risks are reduced, but not off the table.

For longer EUR rates at least, we also think that this is also only part of the story. The US narrative of macro resilience and the hawkish repricing that went in hand with it will also have had spillover effects. After all, it has been US real rates that have driven the leg higher, all the while (market-)inflation expectations have remained at very tolerable levels. What hasn't gone up in the first place with energy prices is unlikely to offer much relief as the latter has now come down.

Tuesday's events and market views

Mostly second tier data on the agenda, likely to keep the focus on geopolitical developments. From Europe, we will have the outcomes from June's ZEW business survey. For Germany, consensus sees a slight improvement in the expectations component, but still stuck in negative territory. For US data we have the import price index. When excluding petroleum, import prices are expected to rise by some 0.5% month-on-month. Housing starts data from May is expected to show a slight cooling

from the previous month's figure.

In terms of ECB speakers, we have Chief Economist Lane and Sleijpen from the Dutch central bank.

In primary markets, Germany will auction 5y bonds (€5bn) while the UK auctions 10y gilts (£4.25bn). Later the US Treasury will auction 20y bonds (US\$13bn).

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United

THINK economic and financial analysis

States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.